PORTLAND PUBLIC SCHOOLS

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STAFF MEMO

Date: November 13, 2025

To: Board of Education

From: Dana White, Sr. Director of Real Estate and Construction

Subject: One North Property Due Diligence Summary

BACKGROUND

On September 9, 2025, the Board of Education approved Resolution 7165, authorizing execution of Purchase and Sale Agreement for the proposed Center for Black Student Excellence building. The approval of this resolution began a 90-day due diligence period of the property as outlined in the purchase and sale agreement (PSA).

The reports and studies performed to date are a standard part of real estate due diligence for any commercial real estate transaction. Staff reported due diligence activities and information through the Facilities Improvement and Oversight Committee on October 8 and provided feasibility and building condition reports in advance of the November 10 meeting. Below is a summary of those activities,analyses, and findings.

ANALYSIS

We have completed the major activities of the due diligence on the One North property as the potential home for the Center for Black Student Excellence (CBSE). This building was chosen for its exceptional location at the heart of the Albina community.

A Feasibility Study was completed by Adre in partnership with Lever Architecture. Their conceptual test fit of the CBSE Vision has confirmed the program functions will fit in the existing One North building area. A Building Assessment Report was also compiled by Interface Engineering in partnership with KPFF Engineering and Bassetti Architects. An independent cost consultant (RLB) was engaged to complete an estimate based on the conceptual plan.

PPS has also engaged a commercial real estate broker, external real estate counsel, and bond counsel.

Program Feasibility

The existing buildings are a B occupancy, for office space. In order for PPS to place student-facing programs within these spaces, the code requires a change of use to an E occupancy, as well as meeting the current code requirements for that new occupancy type. The code-required change of use to an E occupancy includes a seismic upgrade to meet the 2021 Oregon Structural Specialty Code. A seismic upgrade will require us to relocate existing tenants to other building spaces during this work. This occupancy type change will also necessitate additional life safety measures. Due to the height of the buildings, the City may limit our classroom use on the upper floors, potentially limiting types of uses for as much as 15,000sf. Additional required upgrades may include modifying access points, stairs and hallways for egress and security, and upgrading the fire alarm.

The cost to build out the program in accordance with code requirements and PPS Standards is estimated at $21-25M. It is expected that the design and construction duration of these build-outs will take 24-30 months from Board approval. This includes the solicitation of both design and construction firms, additional community engagement, and permitting.

Building Condition

The buildings are approximately ten years old and in generally good condition. The existing HVAC system is an LG VRF (Variable refrigerant flow) system. It uses 410-A refrigerant. This refrigerant has been phased out, and the refrigerant and the mechanical units are no longer manufactured. Parts may be available for up to the next 5 years; but if there are any major failures and the equipment is not available, it would require a system replacement. This work is invasive, requiring opening of the ceilings, and potentially the walls to replace. It is recommended to do this work during the build-out phase, as it will be less costly to complete alongside other construction activities. The replacement cost of the HVAC system is approximately $5.5 million.

Operating Costs

The historical operational costs of the buildings are consistent with other PPS buildings. The exterior portions of the buildings that make them look so unique will require additional maintenance. Curved walls clad in stained wood veneer, white-painted projecting apertures, and low-profile roof coping and flashings require more frequent upkeep (3-5 years) than the PPS District Standard brick and metal panel systems, which follow a 20-year maintenance cycle. Dirt and debris on the white aperture roof membranes are visible through windows from the interior and adjacent buildings. Frequent maintenance will be necessary to keep the area clean and avoid deterioration. The only way to clean these areas is via vertical lift from the street and courtyard. The tenants of the leased spaces are assessed a pro-rata share of the maintenance/operating costs.

Capital (Bond) Costs

Total cost of purchase, build out, and HVAC replacement is estimated to be $37M-$41M, well within the $60M allocation in the 2020 bond. The District has obtained an opinion from bond counsel that purchase and capital improvement are legal uses of the 2020 bond funds.

Timing

The time needed to complete the improvements for student-facing programming is estimated at approximately twenty-four (24) to thirty (30) months.

Title Report

The title reports detailing the property's ownership, legal description, and any encumbrances like liens, easements, or restrictions that could affect its use or transfer have been reviewed by real estate counsel. No significant issues were noted.

Alta Survey

The Alta survey is a detailed survey that identifies boundaries, easements, means of access, rights-of-way, physical improvements, encroachments, setback violations, and zoning and flood zone classification to provide a comprehensive view of a property's physical conditions. No significant issues with this completed survey.

Environmental Study

The Level 1 environmental survey is a non-intrusive study to assess the site based on current and historical uses of a property to assess any environmental concerns in soil or groundwater below the property, and identifies any suspect environmental materials contained within the building materials. The Level 1 environmental study found no significant issues.

Parking/Transportation

Parking onsite is very limited. As part of the sale, the District will acquire a majority interest in a lease with the adjacent Life Change Church, which expires in 2027 (*See* Eco Commons LLC discussion, below). PPS has reached out to the Church indicating a desire to extend the term of the lease post closing.

Eco Commons LLC

Upon closing, PPS would have 70% of the interest in Eco Commons LLC, which owns the common area with an adjoining landowner (subject to a public easement) and shares the commons maintenance proportionately. The LLC also is the party to the parking lease and right of first refusal on the church property. We do not recommend making changes to the LLC as a condition of closing.

Property Management

The buildings are currently professionally managed. We have reviewed the operating expenses for the buildings, and they are consistent with PPS experience. PPS will continue to engage the property management company through a transition period to be determined post closing.

Next Steps

The Board will meet on December 2, and staff expects to recommend waiving contingencies and proceeding with the sale.